CSIS AUSTRALIA CHAIR

Australia Daily Brief

Wednesday, October 28, 2026

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RE: USS Colorado becomes first SRF-West boat at HMAS Stirling · inflation hits 4.3%, November hike priced near 85% · Coalition balks at EU FTA climate clauses · Bougainville vote set for late November · RBNZ holds, kiwi slides

ASX 200	AUD/USD	NZX 50	NZD/USD
8,847	0.7031	13,691	0.5600
+0.18%	+0.03%	+0.44%	-1.84%

IN THIS ISSUE Top Stories · Overnight · Stat · AUKUS · Pacific · New Zealand · Canberra · Markets · Upcoming · The Wire · Analysis

TODAY AT A GLANCE

1. USS Colorado tied up at HMAS Stirling as the first submarine assigned to Submarine Rotational Force-West, with the designation announced in a joint statement by the U.S. Department of War.
2. Inflation accelerated to 4.3 percent in the year to September, lifting market pricing for a Reserve Bank increase next Tuesday to about 85 percent.
3. Papua New Guinea's parliament is expected to vote on Bougainville independence in late November, with Fiji swearing in its third attorney-general since the coalition took office the same week.

TOP STORIES

AUKUS

USS Colorado named first boat of Submarine Rotational Force-West

The Virginia-class submarine USS Colorado was shown to media at Garden Island on Wednesday as the first submarine assigned to Submarine Rotational Force-West. It will be based at HMAS Stirling as part of an upskilling programme for the local workforce ahead of Australia's own acquisition of nuclear-powered submarines. **Jennifer Parker**, adjunct professor at UWA's Defence and Security Institute, said Stirling "would be some kind of target" in a major Indo-Pacific conflict while calling that scenario unlikely, and pointed to the economic lift for Western Australia.

per ABC News: "Nuclear-powered sub arrives at Perth naval base" · also U.S. Department of War

TRADE-ECONOMY

Inflation accelerates to 4.3 percent, hardening expectations of a November rate rise

The consumer price index rose 0.8 percent in the month of September, from 0.4 percent in August, taking annual inflation to *4.3 percent* from 4 percent, the Australian Bureau of Statistics said. Housing was the largest contributor at 5.2 percent and fuel prices rose 9.4 percent; the trimmed mean lifted to 3.6 percent against an August reading revised down to 3.5 percent. Market pricing for a 0.25 percent increase next Tuesday moved to about 85 percent on Bloomberg data, and **Jim Chalmers** called for "perspective", pointing to external factors and lowering expectations of further fuel discounts.

per ABC News: "Inflation surges more than expected ahead of RBA meeting" · also AFR

AU-FOREIGN-POLICY

Coalition will not back the EU free trade agreement without a side letter on climate

Shadow Minister for Foreign Affairs **Ted O'Brien** said the Coalition will not support the free trade agreement struck with the European Union earlier this year without changes, calling for a side letter covering the agreement's climate clauses. A European Parliament vice-president separately appealed for Australian support for the deal on the same programme.

per ABC News: "Ted O'Brien concerned about climate clauses in EU FTA"

PACIFIC-POLITICS

PNG parliament vote on Bougainville independence expected in late November

Papua New Guinea's parliament is expected to vote on Bougainville independence in late November, ABC Pacific Beat reported. Separately, Marat urged that a Melanesian framework guide decisions on Bougainville's political future, according to the PACNEWS bulletin carried by Islands Business.

per ABC Pacific: "PNG Parliament vote on Bougainville independence expected in late November" · also Islands Business

OVERNIGHT

AU-FOREIGN-POLICY

Australia providing 'extraordinary' support to ICC staff under US sanctions · ABC News

An official said Australia is providing "extraordinary" support to International Criminal Court staff affected by sanctions imposed by the Trump administration. The comment follows criticism that Canberra has offered little beyond private words as the court's Japanese president is targeted.

AU-FOREIGN-POLICY

EU industrial strategy chief courts Australian critical minerals on Canberra visit · ABC News

Stéphane Séjourné, the European Commission's Executive Vice President for Industrial Strategy, used an Australian visit to press Europe's appetite for Australian critical minerals and the completed Australia-EU free trade agreement. He framed the push as part of what Europeans call strategic autonomy, driven by reliance on China and the war in Ukraine.

AU-POLITICS

Crossbench presses Labor for a free avenue to challenge big tech · ABC News

Crossbench members are pushing the government to give Australians a cost-free way to contest big technology companies. The push lands as the government seeks Coalition amendments on a proposed Digital Duty of Care.

AU-POLITICS

Antisemitism education plan to cover harmful tropes and online conduct · The Australian

An antisemitism education plan will have students taught about harmful tropes and ethical online conduct, The Australian reported. The plan surfaces alongside new federal police findings on the online radicalisation of boys as young as 12.

STAT OF THE DAY

4.3%

Australian annual inflation, year to September

Housing rose 5.2 percent and fuel 9.4 percent, lifting market pricing for a Reserve Bank increase next Tuesday to about 85 percent.

ABC News

AUKUS WATCH

PILLAR 1 · AUSTRALIAN DEFENCE MAGAZINE

Stirling visit framed as a scheduled maintenance period, with Australian crews on the tools

The US Pacific Fleet said a US Navy submarine arrived in Western Australia for a scheduled maintenance period in support of AUKUS. Australian Defence Magazine reported the continuation of Australian maintenance work on US nuclear-powered submarines, the activity through which local technicians accumulate sustainment experience.

PACIFIC WIRE

FIJI · RNZ PACIFIC

Rabuka associate sworn in as Fiji's third attorney-general since the coalition took office

Sevuloni Valenitabua was sworn in as Fiji's chief law officer at State House in Suva on Tuesday, following the acting attorney-general's explicit video saga this month. He led the seven-member Constitutional Review Commission this year, and his son Simione is personal legal counsel to Prime Minister **Sitiveni Rabuka**. RNZ obtained a selection panel report showing Valenitabua was passed over for the anti-corruption office chief role over a heart condition.

FIJI · RNZ PACIFIC

Fiji anti-corruption chief rejects speculation over missing court cocaine

Lavi Rokoika, who heads Fiji's anti-corruption agency, rejected speculation that she is the high-profile suspect in the case of *39.5 kilograms* of cocaine missing from the Suva High Court evidence room and replaced with flour, an exhibit valued at more than FJ$50 million. One judiciary employee, Jiuta Naivalarua Raibevu, 51, has been charged with interfering with evidence and unlawful possession.

FIJI · FBC NEWS

India builds 100-bed hospital in Suva as its largest project in Fiji

Indian High Commissioner **Suneet Mehta** said a 100-bed super-speciality hospital being established in Suva is India's largest development project in Fiji. India is also running healthcare, agriculture, and food security initiatives aimed at essential services and local livelihoods.

VANUATU · ABC PACIFIC

Vanuatu Teachers Union calls all members out pending court decision

The Vanuatu Teachers Union called on all members to strike while a court decision is pending, ABC Pacific Beat reported.

TUVALU · AFP

NZ papers say Tuvalu has 'limited' power to halt its fossil fuel investments

New Zealand government papers seen by AFP state that Tuvalu has "limited" power to halt its fossil fuel investments. Tuvalu is one of three Pacific Islands Forum members holding formal diplomatic relations with Taiwan and among the most exposed to sea level rise.

REGIONAL · ISLANDS BUSINESS

Pacific Elders call for reversal of the Forum's Israel partnership

Pacific Elders called for the Pacific Islands Forum to reverse Israel's admission as a development partner, according to the PACNEWS bulletin. Israel was recorded joining as a Forum development partner in October.

REGIONAL · ISLANDS BUSINESS

Fiji deputy police commissioner takes charge of new PACPOL Hub

A Fiji police deputy commissioner was appointed the first executive director of the PACPOL Hub, as Pacific states and the United States agreed to deepen police cooperation against drugs and transnational crime. The same bulletin reports Banaban groups demanding compulsory Rabi elections.

REGIONAL · ISLANDS BUSINESS

Pacific states hit climate finance barriers as global action falls short

Pacific states face barriers accessing climate finance while global action falls short, PACNEWS reported. The bulletin also carries Fiji's reaffirmation of its partnership with the Pacific Community to strengthen regional resilience.

NEW ZEALAND

TRADE-ECONOMY · WSJ

RBNZ holds rates against market expectations, kiwi drops

The Reserve Bank of New Zealand held interest rates steady, surprising markets, the Wall Street Journal reported. Bloomberg reported the New Zealand dollar slid the most against the Australian dollar since 2017 on the decision; NZD/USD closed at 0.5600, down *1.84 percent*.

NZ-POLITICS · RNZ

Peters defends NZ First ad blaming 'woke' policy for the Manawanui sinking

Winston Peters said it was "clear as daylight" that the captain of HMNZS Manawanui, Commander **Yvonne Gray**, was hired through a diversity, equity and inclusion programme, defending a party advertisement that blames the ship's sinking off Samoa on "woke b.....t". Candidate and former defence minister **Ron Mark**, who appears in the ad, rejected suggestions it was sexist. National dropped three points in the latest 1News Verian poll while NZ First gained two.

NZ-DEFENSE · RNZ

NZDF tenders for drones it can fly in swarms

The New Zealand Defence Force has tendered for a "limited quantity" of drones coordinated by a single operator, stating it is "not intended for operational use or large-scale fleet deployment". RNZ noted global demand is expected to quadruple from over $1.5 billion last year, and that New Zealand is on a path to defence interchangeability with Australia within a decade.

CANBERRA POLITICS

AU-POLITICS · GUARDIAN AUSTRALIA (JOSH BUTLER)

Essential poll puts One Nation's primary vote level with Labor

One Nation's primary vote is back on par with Labor in the latest Guardian Essential poll, with **Anthony Albanese**'s disapproval rising to *56 percent*, the equal highest since he took office in 2022, and more respondents than ever saying the country is on the wrong track. Labor remains the most trusted party on the economy and on managing the country.

AU-POLITICS · ABC NEWS

AFP tables analysis of 55 radicalised children at Senate estimates

AFP Commissioner **Krissy Barrett** tabled an internal analysis of 55 radicalised children aged 12 to 17: all were male and every one was radicalised wholly or partly online, with violent jihadism the most prevalent belief system followed by anti-authority and white supremacist ideologies. Barrett said female parliamentarians are three times more likely to receive abuse or threats, and will raise MP security with state and territory police commissioners.

AU-POLITICS · GUARDIAN AUSTRALIA

ABC managing director to act over One Nation's Bluey cartoon

Hugh Marks told Senate estimates that One Nation's 2024 cartoon showing Bluey ramming politicians with a car was "shocking and disrespectful" and potentially breached intellectual property rights, saying "we will be taking further action". Labor senator **Varun Ghosh** said the cartoon carried "a particular poignance" after the alleged attack on independent MP **Helen Haines**.

AU-POLITICS · POLITICO

Labor spent AU$2.6 million to unseat two Greens MPs

Labor spent AU$2.6 million ousting two Greens rivals from parliament, Politico reported, quantifying the party's targeting of inner-city seats at the 2025 election.

AU-POLITICS · ABC

Shoebridge takes the Greens' gas and resources tax plan to the Press Club

Senator **David Shoebridge**, Leader of the Australian Greens, delivered the Greens leader's address to the National Press Club as the party pushed a tax plan promising cost-of-living relief funded by higher taxes on gas and resources.

AU-DEFENSE · AUSTRALIAN DEFENCE MAGAZINE

Kellie Parker appointed National Armaments Director

Kellie Parker has been appointed National Armaments Director, Australian Defence Magazine reported. The post sits at the centre of Australia's acquisition and defence industry machinery.

BUSINESS AND ECONOMY

TRADE-ECONOMY · ABC NEWS

Canberra puts $180 million into a western Victorian rare earths mine

The federal government is investing *$180 million* in the Donald mineral sands and rare earths project in western Victoria. The commitment lands as Brussels presses Australia for critical minerals supply.

TRADE-ECONOMY · BLOOMBERG

Fortescue says any iron ore deal with China must protect Australia

Fortescue said an iron ore arrangement with China must protect Australian interests, Bloomberg reported.

TRADE-ECONOMY · ABC NEWS

Star fined $260 million for anti-money laundering breaches

Justice **Cameron Moore** fined The Star Entertainment Group $260 million in the Federal Court over repeated breaches of anti-money laundering laws tied to the junket operator Suncity. AUSTRAC had sought $400 million; Star argued anything above $100 million would force liquidation, and The Australian reported the penalty will be spread over 19 months.

TRADE-ECONOMY · ABC NEWS

NT utility buys emergency gas as cyclone-hit platform stays shut

The Northern Territory's Power and Water Corporation has lost more than *$500 million* over three years, including a $233 million pre-tax loss last year, after buying emergency gas at elevated prices when its main supplier Eni curtailed supply. The dispute has been referred to arbitration, with recovery dependent on the outcome.

UPCOMING

NOV 3

Reserve Bank of Australia board decision

Markets price about an 85 percent chance of a 0.25 percent increase after September inflation hit 4.3 percent.

NOV 7

New Zealand general election

Decides whether Luxon's National, ACT and NZ First coalition continues, with defence spending and Pacific policy on the ballot.

NOV 2026

United States midterm elections

The result shapes congressional handling of AUKUS authorisations and tariff policy that bears on Australia.

NOV 2026

Victorian state election

Polling points to a Labor wipeout in a state the Business Council again ranks last for business policy.

NOV 2026

PNG parliamentary vote on Bougainville independence

The vote is the decisive step on Bougainville's political status and will set Australia's and the region's response.

THE WIRE

PACIFIC-POLITICS

DEVPOLICY BLOG

How to ensure internet accessibility for all in PNG

Andrew Anton Mako writes that *70 percent* of Papua New Guineans remain offline with costs among the region's highest, and that an ANU-UPNG submission to RESET@50 argues competition rather than state control will close the gap.

LOWY INTERPRETER

Australian rifles, private guns and PNG's 2027 election

Security firms in Papua New Guinea are arming up ahead of polling season, raising the question of who they answer to.

AU-FOREIGN-POLICY

LOWY INTERPRETER

EU-Australia FTA: the threat to ratification runs both ways

The hardest part of the trade agreement is not negotiating it but winning approval, with ratification risk on both sides of the deal.

AU-DEFENSE

ASPI STRATEGIST

Japan, Australia, US should build a second-island-chain air bridge

The piece argues for regular peacetime air corridors between Japan and Australia with settled overflight and landing rights and refuelling arrangements, built with the United States and other partners.

TRADE-ECONOMY

ASPI STRATEGIST

Australia's uranium policy undercuts its energy diplomacy

The author notes **Jim Chalmers** told the Australia-Japan Joint Business Conference this month that "Japan has no energy provider more loyal than Australia", and argues uranium policy sits awkwardly with that pledge.

ABC NEWS

Business Council ranks Victoria last and South Australia first, again

Bran Black, chief executive of the Business Council of Australia, said Victoria's "high taxes and unnecessary regulation" were factors in its sluggish economy, with the state placed last in the lobby's annual ranking every year since 2023 and South Australia first every year.

NZ-FOREIGN-POLICY

CSIS

New Zealand Votes: What's at Stake for Foreign and Defense Policy

CSIS has scheduled an event on the foreign and defence policy stakes of New Zealand's general election.

PACIFIC-DIPLOMACY

ISLANDS BUSINESS

Business councils welcome Australia-PNG ministerial dialogue

The Business Council of Papua New Guinea and the Australia-Papua New Guinea Business Council welcomed what they called constructive ministerial dialogue on investment and economic growth.

ANALYSIS AND OPINION

PAUL DIBB · UNITED STATES STUDIES CENTRE

USSC Briefing Room | "Strategic collision" with China and how ANZUS must adapt with Paul Dibb

The United States Studies Centre's Briefing Room hosts Paul Dibb on how the alliance should change in the face of what he terms a strategic collision with China.

> **Argument:** Dibb argues that a strategic collision with China is under way and that the ANZUS alliance must adapt to it.

CSIS Australia Chair

AUSTRALIA DAILY BRIEF

Washington, D.C.

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